



July 26, 2019

Legendary Sky, Ltd.
c/o CPMC Realty
42600 Caroline Court, Suite 102
Palm Desert, CA 92211

Re: Cato Store #617
Sapphire Point Shopping Center ("Shopping Center")
Idabel, Oklahoma

Dear Sir or Madam:

You are aware that that certain Lease Agreement dated June 29, 2004 as amended by Letter Agreement dated July 17, 2009, Notice Letter dated October 25, 2011, Assignment Notice Letter dated January 21, 2014 and Notice Letter dated December 11, 2014 (collectively, the "Lease"), between Legendary Sky, Ltd., as successor-in-interest to Sapphire Pointe, L.P. ("Lessor") and Cato WO LLC, as successor-in-interest to The Cato Corporation ("Cato"), for the above referenced property, expires on January 31, 2020; however, the Lease provides for an automatic option to renew from February 1, 2020 to January 31, 2025, unless at least 90 days prior to January 31, 2020, Cato notifies Lessor that Cato does not intend to renew the Lease.

As Mark Stein discussed with Julie Dobler, Director of Lease Renewals, Lessor and Cato do hereby agree to renew and extend the Lease for a period of five (5) year(s), from February 1, 2020 to January 31, 2025, under the same terms and conditions of the Lease, except monthly fixed rent shall be FOUR THOUSAND TWO HUNDRED TWELVE AND NO/100 DOLLARS (\$4,212.00).

All other terms and conditions of the Lease shall remain unchanged and continue in full force and effect.

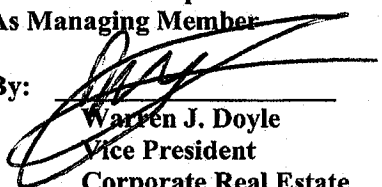
On behalf of Cato this letter is also to advise that it is not the intention of Cato to waive any rights that it has, or may have, pursuant to the Lease and any amendments or modifications thereto, whether or not Cato has insisted on strict compliance in the past. Cato emphatically does not waive but expressly reserves any and all rights in the Lease and any amendments or modifications thereto, and intends to rely on the exact terms and conditions of the Lease referenced above and any written amendments or modifications thereto.

Please indicate your approval to the terms contained herein by having both copies of this Letter Agreement signed in the space provided and then return one (1) fully executed original of this Letter Agreement to my attention at 8100 Denmark Road, Charlotte, NC 28273. Please contact Julie at (704) 571-7739, or JDOBL@catocorp.com, if you have any additional questions.

Very truly yours,

CATO WO LLC
A Delaware limited liability company

By: The Cato Corporation
A Delaware Corporation
As Managing Member

By: 
Warren J. Doyle
Vice President
Corporate Real Estate

WJD/jd

Via Certified Mail - Return Receipt Requested - Receipt No. 7018 2290 0001 3765 6425

cc: Amy Cathey
Property Accounts Management
Timberline System
Docuware
Oracle
Mark Stein via email at cpmcrealty@gmail.com
Legendary Sky, Ltd. 315 Via Montego, San Clemente, CA, 92672
Via Certified Mail, Return Receipt Requested - Receipt No. 7018 2290 0001 3765 6418

ACKNOWLEDGMENT

The terms and conditions set forth in this Letter Agreement are hereby acknowledged and agreed to as of this 26 day of July, 2019.

LESSOR:
Legendary Sky, Ltd.

By: 

Title: President of Legendary Sky, Ltd.
As Manager



The CATO Corporation

December 11, 2014

Robbins-Sapphire Pointe LLC, et. al.
c/o TICC Management, LLC
1191 E. Iron Eagle Drive, Suite 200
Eagle, ID 83616

Re: Cato Store #617N
Sapphire Pointe Shopping Center ("Shopping Center")
Idabel, Oklahoma

Dear Sir/Madam:

That certain Lease Agreement dated June 29, 2004, as amended (collectively, the "Lease"), between Robbins-Sapphire Pointe, LLC, et. al. ("Lessor"), as successor-in-interest to Sapphire Pointe L.P., and Cato WO LLC ("Cato"), for the above referenced property will expire on January 31, 2015. The Lease provides for a renewal option for an additional five (5) year term; the renewal option will take place automatically unless ninety (90) days prior to January 31, 2015 Cato notifies you otherwise.

Although the Lease does not require formal notice, this letter is to advise you that Cato will allow the renewal option to take effect, thereby extending the Lease for the period from February 1, 2015 to January 31, 2020. In addition, Cato does hereby revoke and rescind its offer to amend the terms of the Lease as set forth in that certain Letter Agreement dated October 30, 2014 which was previously forwarded to you. Accordingly, said Letter Agreement dated October 30, 2014 is now and hereafter null and void.

On behalf of Cato this letter is also to advise that it is not the intention of Cato to waive any rights that it has or may have pursuant to the Lease and any amendments or modifications thereto, whether or not Cato has insisted on strict compliance in the past. Cato emphatically does not waive but expressly reserves any and all rights in the Lease and any amendments or modifications thereto, and intends to rely on the exact terms and conditions of the Lease referenced above and any written amendments or modifications thereto.

Should you have any questions concerning this matter, please direct them to Julie Dobler, Director of Lease Renewals, at (704) 571-7739.

Very truly yours,

CATO WO LLC
A Delaware limited liability company

By: The Cato Corporation
A Delaware Corporation
As Managing Member

By: 
Gordon D. Smith
Executive Vice President
Store Development

GDS/cre

Via Certified Mail, Return Receipt Requested - (Receipt No. 7009 1680 0001 6728 2919)

cc: Amy Cathey
Property Accounts Management
Timberline System
Docuware
Oracle

Philco Property Management, P.O. Box 835481, Richardson, Texas 75083-5481 – Via Certificated Mail
Return Receipt Request – Receipt No. #7009 1680 0001 6728 2926

8100 Denmark Road • Charlotte, NC 28273 • 704-554-8510
P.O. Box 34216 • Charlotte, NC 28234

IDABEL, OKLAHOMA

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STATE OF OKLAHOMA

LEASE AGREEMENT

COUNTY OF MCCURTAIN

THIS LEASE AGREEMENT, Made and entered into as of the 29th day of June, 2004, by and between SAPPHIRE POINTE, L.P., a Texas limited partnership, 17400 Dallas Parkway, Suite 216, Dallas, Texas 75287, hereinafter referred to as LESSOR, and THE CATO CORPORATION, Post Office Box 34216, Charlotte, North Carolina 28234, a corporation organized and existing under the laws of the State of Delaware, hereinafter referred to as LESSEE,

W I T N E S S E T H:

1. PREMISES. LESSOR leases to LESSEE, and LESSEE leases from LESSOR for the term and upon the terms and conditions set forth in this Lease Agreement, certain premises on plat as prepared by LESSOR consisting of approximately 4,160 square feet, measuring 52 feet wide (resulting in a minimum interior finish to finish dimension of fifty-one feet five inches (51' 5") wide) by 80 feet deep (hereinafter referred to as the "Premises"), and outlined in red on Exhibit A attached hereto and made a part hereof, erected or to be erected in the SAPPHIRE POINTE SHOPPING CENTER (hereinafter called the "Shopping Center"), on a tract of land situated in the State of OKLAHOMA, County of MCCURTAIN, City of IDABEL, said land being more particularly described on Exhibit B, attached hereto and made a part hereof;

TOGETHER WITH the right of non-exclusive use, in common with others, of all parking areas, driveways, footways, and other facilities designated for common use, as may be provided by LESSOR;

TOGETHER WITH all rights, privileges, easements, appurtenances, and rights of ingress and egress, belonging to or in any way pertaining to the Premises and the Shopping Center.

2. TERM. TO HAVE AND TO HOLD the same for a term of five (5) years, one (1) month, beginning on January 1, 2005 provided LESSOR shall have delivered the Premises to LESSEE according to the conditions specified in Exhibit C. Otherwise, the term shall commence upon such delivery to LESSEE. The term shall end on January 31, 2010 regardless of the date of commencement.

3. FIXED RENT. LESSEE agrees to pay at such place as may be designated by LESSOR, fixed rent for the Premises in the amount of THREE THOUSAND SEVEN HUNDRED TWENTY-SIX AND 67/100 DOLLARS (\$3,726.67) per month, in advance on the first day of each calendar month during the Lease term.

The rent shall commence: (i) ninety (90) days after LESSOR has notified LESSEE in writing that LESSOR'S work, in accordance with LESSEE'S Plans and Specifications substantially as described in Exhibit C, attached hereto and made part hereof, has been completed; or (ii) on the day LESSEE opens for business for retail sales, in the Premises, whichever, (i) or (ii) shall first occur. Notwithstanding the foregoing, in the event LESSOR delivers the Premises to LESSEE earlier than the scheduled delivery date anticipated in Article 2 and Exhibit C hereto, in no event shall rent commence any earlier than ninety (90) days after said scheduled delivery date, unless LESSEE opens for business in the Premises prior to the expiration of such ninety (90) day period. If the rent commences on any day other than the first day of a

calendar month, that pro rata fraction of the first month's fixed rent, based on the number of days in that month, shall be paid at the end of the month. No rent shall be payable by LESSEE until the term hereof shall have thus commenced.

4. GROSS RETAIL SALES. "Gross retail sales" are defined as all cash sales, plus collections on the sale of merchandise on layaway and credit, exclusive of service and finance charges, less all returns, senior citizens' discounts, estimated employee purchases, and sales taxes levied by governmental authority. "Lease year" is defined as each twelve-month period ending January 31 during the term hereof.

5. RENEWAL OPTIONS. (a) Provided LESSEE is not in default, upon expiration of the original term of this Lease on January 31, 2010 this Lease shall be automatically extended and renewed for a period of five (5) years from February 1, 2010 to January 31, 2015, under the same terms and conditions except monthly fixed rent shall be THREE THOUSAND NINE HUNDRED AND NO/100 DOLLARS (\$3,900.00), unless at least ninety (90) days prior to January 31, 2010 LESSEE shall give written notice to LESSOR that it does not intend to renew this Lease for the additional five (5) year term.

(b) Provided LESSEE is not in default, and provided LESSEE exercises the option in Article 5(a) above, upon expiration of the first option term on January 31, 2015, this Lease shall be automatically extended and renewed for a period of five (5) years from February 1, 2015 to January 31, 2020, under the same terms and conditions except monthly fixed rent shall be FOUR THOUSAND SEVENTY-THREE AND 33/100 DOLLARS (\$4,073.33), unless at least ninety (90) days prior to January 31, 2015 LESSEE shall give written notice to LESSOR that it does not intend to renew this Lease for the additional five (5) year term.

(c) Provided LESSEE is not in default, and provided LESSEE exercises the options in Articles 5(a) and 5(b) above, upon expiration of the second option term on January 31, 2020, this Lease shall be automatically extended and renewed for a period of five (5) years from February 1, 2020 to January 31, 2025, under the same terms and conditions except monthly fixed rent shall be FOUR THOUSAND TWO HUNDRED FORTY-SIX AND 67/100 DOLLARS (\$4,246.67), unless at least ninety (90) days prior to January 31, 2020 LESSEE shall give written notice to LESSOR that it does not intend to renew this Lease for the additional five (5) year term.

6. COMMON AREA MAINTENANCE. (a) All facilities furnished in the Shopping Center and designated for the general use, in common, of occupants of the Shopping Center, including LESSEE hereunder, its officers, agents, employees and customers, are herein termed to be "common areas" and LESSEE agrees to abide by all reasonable rules and regulations set forth by LESSOR for the use of said common areas as such rules and regulations apply to all tenants of the Shopping Center including, but not limited to, designation of specific parking areas for LESSEE'S employees. LESSOR warrants that it will at all times keep and maintain common areas as defined above, neat and clean, clear of all trash and debris, parking facilities well-surfaced and lighted and will not allow any alteration of pedestrian or automobile traffic patterns or any obstruction of the view of LESSEE'S store.

(b) Common areas shall be defined as any of the following that may be part of the Shopping Center: parking areas, driveways, service courts, malls, sidewalks and landscaped areas. LESSOR shall operate, maintain, equip, light, clean and make routine repairs to said common areas, as LESSOR shall from time to time determine. All costs of the foregoing items, exclusive of any administrative charges and off-site overhead expenses, are herein collectively called "common area maintenance charges." LESSEE agrees to make a contribution to such common area maintenance charges in advance monthly installments of THREE HUNDRED FORTY-SIX AND 67/100 DOLLARS (\$346.67) on the first day of each calendar month, commencing with LESSEE'S payment of fixed rent and continuing through the end of the 2005 calendar year after LESSEE opens for business.

Within ninety (90) days after the end of each calendar year LESSOR shall provide LESSEE with a statement, including reasonable detail, of the costs of such common area maintenance charges for the Shopping Center for such calendar year, subject to any additional supporting detail as may be requested by LESSEE. LESSEE'S pro rata share of such common area maintenance charges, shall be calculated as set forth in Article 9. Within thirty (30) days after receipt of such statement, there shall be an adjustment between LESSOR and LESSEE with payment to or repayment by LESSOR as the case may require. In the event LESSEE is required to make additional payment to LESSOR, such payment shall not exceed five percent (5%) of LESSEE'S payment of common area maintenance charges for the previous calendar year. Notwithstanding the foregoing, regardless of the actual amount of LESSEE'S pro rata share through the end of the 2005 calendar year after LESSEE opens for business, in no event shall LESSEE'S contribution for common area maintenance charges during such period exceed ONE AND NO/100 DOLLARS (\$1.00) per square foot of the Premises per annum. In the event any repayment is due to LESSEE, then LESSEE may take a credit on LESSEE'S next succeeding installment. At the time the aforementioned annual adjustment is made, LESSEE'S subsequent monthly common area maintenance contributions shall be adjusted so that each monthly installment equals one-twelfth of LESSEE'S adjusted annualized contribution.

LESSOR agrees to keep at its principal office, for one year, records relating to said common area maintenance charges. LESSEE shall have the right to audit said records. Such audit shall be made during normal business hours, not unreasonably interfere with LESSOR'S office operations, and be performed by LESSEE'S authorized financial officer or a CPA selected by LESSEE. If any such audit shows the amount of such charges to LESSEE was overstated by more than five percent (5%) for any calendar year, the LESSOR shall pay to LESSEE the reasonable cost of such audit. LESSOR agrees to refund to LESSEE any overpayment of such charges whether an audit is performed or not.

(c) LESSOR will provide parking area in the Shopping Center on the basis of a minimum of four (4) parking spaces for each 1,000 square feet of leasable building space in the Shopping Center, located as shown on Exhibit A. As aforesaid, LESSOR shall keep the parking area in good repair and properly maintained, free of litter and debris, and well-lighted during LESSEE'S operating hours of darkness and one hour thereafter. In the event LESSOR constructs additional buildings at the Shopping Center, it will provide adequate parking area for such stores so as not to reduce or infringe upon the parking ratio established as set

forth above. LESSEE will use its best efforts to see that its employees park their automobiles in the area within the Shopping Center so designated by LESSOR, so long as such employee parking designation applies to all tenants in the Shopping Center.

7. REAL ESTATE TAXES. (a) LESSOR shall promptly pay before delinquent all ad valorem real property taxes, levies and assessments against the land and all improvements included in the Shopping Center. In the event of default in such payment, LESSEE, at its option, may pay the same as it pertains to the Premises and the Shopping Center, if necessary, and deduct the amount thereof, together with any penalties and interest which may have been charged and paid by LESSEE, from the rent next occurring hereunder. LESSEE agrees to pay to LESSOR a monthly contribution toward such real estate taxes, in advance monthly installments of FIVE HUNDRED TWENTY AND NO/100 DOLLARS (\$520.00) on the first day of each calendar month, commencing with LESSEE'S payment of fixed rent and continuing through the end of the 2005 tax year, but subject to year-end reconciliation and adjustment as described below.

Within ninety (90) days after the end of each tax year, LESSOR shall provide LESSEE with a copy of the paid tax bill for the Shopping Center, as described herein, accompanied by a statement setting forth LESSEE'S pro rata share of such real estate taxes for such tax year, which pro rata share is to be calculated as set forth in Article 9. Within thirty (30) days after receipt of such statement there shall be an adjustment between LESSOR and LESSEE with payment to or repayment by LESSOR as the case may require. Notwithstanding the foregoing, regardless of the actual amount of LESSEE'S pro rata share through the end of the 2005 tax year after LESSEE opens for business, in no event shall LESSEE'S contribution for real estate taxes during such period exceed ONE AND 50/100 DOLLARS (\$1.50) per square foot of the Premises per annum. In the event any repayment is due to LESSEE, then LESSEE may take a credit on LESSEE'S next succeeding installment. At the time the aforementioned annual adjustment is made, LESSEE'S subsequent monthly real estate tax contributions shall be adjusted so that each monthly installment equals one-twelfth of LESSEE'S adjusted annualized contribution. LESSEE'S pro rata share of any such real estate tax charges shall be pro rated for any partial years of LESSEE'S occupancy of the Premises.

(b) In the event that there should be an increase in the leasable square footage of the Shopping Center, LESSEE'S pro rata share of such real estate taxes shall be recalculated based on the new leasable area, provided that the leasable area after such increase is greater than at the time this Lease is executed. If LESSEE'S pro rata share is recalculated, its pro rata fraction before recalculation shall be applied to a pro rata share of such taxes based on the number of days in the tax year before the increase of square footage divided by 365. LESSEE'S new pro rata share shall be applied to the remaining portion of such taxes. In no event shall LESSEE'S pro rata share be increased. If the Lease term fails to end at the same time as the tax year, then LESSEE shall pay only its pro rata share of the tax for that year, based on the number of days of its Lease term in the new tax year divided by 365.

(c) LESSEE agrees to pay when due, all taxes assessed against LESSEE'S personal property. LESSEE shall pay for all license fees, occupational taxes and other governmental charges

assessed by reason of LESSEE'S use or occupancy of the Premises, including rental or occupancy taxes, if any.

8. INSURANCE. (a) LESSOR agrees to maintain comprehensive general liability insurance relating to the Shopping Center and its common areas on an occurrence basis in the minimum amount of \$1,000,000.00, and all-risk fire and extended coverage insurance to the extent of the replacement value of the Shopping Center of which the Premises are a part, with the option of taking advantage of co-insurance to the extent of not less than eighty percent (80%) thereof. LESSEE agrees to make a monthly contribution to the cost of such insurance premiums, in advance monthly installments of EIGHTY-SIX AND 67/100 DOLLARS (\$86.67) on the first day of each calendar month, commencing with LESSEE'S payment of fixed rent and continuing through the end of the 2005 annual billing, but subject to year-end reconciliation and adjustment as described below.

Within ninety (90) days after the end of each annual billing for insurance premiums covering the Shopping Center, as described herein, LESSOR shall provide LESSEE with a copy of the paid bill for such insurance premiums accompanied by a statement setting forth LESSEE'S pro rata share of such insurance premiums, which pro rata share is to be calculated as set forth in Article 9. Within thirty (30) days after receipt of such statement there shall be an adjustment between LESSOR and LESSEE with payment to or repayment by LESSOR as the case may require. Notwithstanding the foregoing, regardless of the actual amount of LESSEE'S pro rata share through the end of the 2005 annual billing, in no event shall LESSEE'S contribution for insurance charges during such period exceed TWENTY-FIVE CENTS (25¢) per square foot of the Premises per annum. In the event any repayment is due to LESSEE, then LESSEE may take a credit on LESSEE'S next succeeding installment. At the time the aforementioned annual adjustment is made, LESSEE'S subsequent monthly insurance contributions shall be adjusted so that each monthly installment equals one-twelfth of LESSEE'S adjusted annualized contribution. LESSEE'S pro rata share for any such insurance premiums shall be pro rated for any partial year of LESSEE'S occupancy of the Premises.

In the event that there should be an increase in the leasable square footage of the Shopping Center, LESSEE'S pro rata share of such insurance shall be recalculated based on the new leasable area, provided that the leasable area after such increase is greater than at the time this Lease is executed. If LESSEE'S pro rata share is recalculated, its pro rata fraction before recalculation shall be applied to a pro rata share of such insurance premiums based on the number of days in the Lease year before the increase of square footage divided by 365. LESSEE'S new pro rata share shall be applied to the remaining portion of such insurance premiums. In no event shall LESSEE'S pro rata share be increased. If the Lease term fails to end at the same time as the insurance year, then LESSEE shall pay only its pro rata share of the insurance for that year, based on the number of days of its Lease term in the new year divided by 365.

(b) If LESSEE should change its operations in the Premises subsequent to its initial use and occupancy, and thereby cause an increase in the premium for the standard fire and extended coverage insurance policy carried by LESSOR (the premium for said policy having been based on such initial use and occupancy of LESSEE), the amount of such increase in net annual premium shall be paid to LESSOR by LESSEE annually, upon presentation of written

evidence by LESSOR. The foregoing shall not apply to any increase in premium resulting from any cause beyond the control of LESSEE. LESSEE shall not permit any operation to be conducted in the Premises that would cause suspension or cancellation of a standard fire and extended coverage insurance policy.

(c) Any insurance which may be carried by LESSOR or LESSEE against loss or damage to the building and other improvements situated on the Premises shall be for the sole benefit of the party carrying such insurance under its sole control.

(d) LESSEE shall maintain and keep in force public liability insurance in the amount of \$1,000,000.00 single limit personal injury-coverage with \$100,000.00 property damage coverage.

(e) Each party hereto waives any and every claim which arises or may arise in its favor and against the other party hereto during the term of this Lease and any renewal or extension thereof for any and all loss of, or damage to, any of the property located within or upon, or constituting a part of the Premises leased to LESSEE hereunder, which loss or damage is covered or is required to be covered pursuant to the terms of this Lease by valid and collectible fire and extended coverage insurance policies, to the extent that such loss or damage is recoverable under said insurance policies. Said mutual waivers shall be in addition to, and not in limitation or derogation of, any other waiver or release contained in this Lease with respect to any loss of, or damage to, property of the parties hereto. Inasmuch as the above mutual waivers preclude the assignment of any aforesaid claim by way of subrogation (or otherwise) to an insurance company (or any other person), each party hereto hereby agrees immediately to give each insurance company which has issued to it policies of fire and extended coverage insurance, written notice of the terms of said mutual waivers, and to have said insurance policies properly endorsed, if necessary, to prevent the invalidation of said insurance coverage by reason of said waivers. Each party shall provide the other with copies of its endorsed policies upon request.

9. DEFINED TERMS/PRO RATA SHARE. (a) Rents, billings and other charges under this Lease shall be, where appropriate, prorated for the fractional year or month, as the case may be, in which the Lease term commences and ends as used in Articles 6, 7 and 8.

(b) Wherever reference is made to LESSEE'S "pro rata share," as referred to in Articles 6, 7 and 8 wherein LESSEE agrees to pay a pro rata share of such costs, limited to whatever degree set forth in Articles 6, 7, and 8 it shall mean the proportion that the square foot area of the Premises shall bear to the entire Shopping Center gross leasable area. The prorating of such share shall be determined by the use of a formula, the numerator of which is the square footage of the Premises (4,160 square feet), and the denominator of which is the gross leasable area of the Shopping Center (19,555 square feet), at the commencement of this Lease, with the resulting fraction (.213) being LESSEE'S pro rata area of the Shopping Center, which, when multiplied by the cost of such charges, represents the dollar amount of LESSEE'S annual pro rata share limited to the degree set forth in Articles 6, 7 and 8 hereof. If requested by LESSEE, LESSOR shall provide a copy of the current plot plan of the Shopping Center for purposes of confirming total square footage.

(c) Should LESSOR exclude from the payment of any ancillary charges, major tenants or out-parcel tenants then and in such event, the gross leased area of such tenant may be deducted from the total gross leasable area of the Shopping Center, in computing LESSEE'S pro rata share; however, the pro rata share of any such ancillary charges applicable to such tenants shall first be deducted from the total of such expenses prior to computing LESSEE'S pro rata share of ancillary charges.

(d) LESSEE reserves the right to protest any such ancillary charges and/or increases should they be found to be excessive when compared to like charges and/or increases in comparable shopping centers of like age, size, type and located within the same geographical region of the Shopping Center. Should LESSEE substantiate that such costs and/or increases are excessive, LESSEE'S pro rata share shall be reduced accordingly, to that of such comparable shopping center costs, and LESSOR shall refund any overpayments previously made by LESSEE.

10. (a) FIRE AND CASUALTY DAMAGE. If the Premises should be damaged or destroyed by fire, tornado or other casualty, LESSEE shall give immediate written notice thereof to LESSOR.

(b) TOTAL DESTRUCTION. In the event of damage (i) to the Premises or (ii) to any part of the Shopping Center having the effect of rendering the retail use of the Premises economically unfeasible and rebuilding or repairs cannot reasonably be completed within one hundred eighty (180) working days from the date of the damage, this Lease shall, at the option of either party, terminate and rent shall be abated for the unexpired portion of this Lease, effective as of the date of said damage. Should either party exercise its option to terminate the Lease, LESSEE shall pay to LESSOR all rent and other charges accrued at that date and neither party shall have any further obligations to the other except for the payment or refund of any difference in the pro rata share of ancillary charges for the partial year when computed at the end of the year. If LESSOR exercises its option to terminate this Lease and then substantially rebuilds the Shopping Center during the original term or any possible extensions thereof LESSOR must give LESSEE written notice of such rebuilding and then LESSEE shall have the option to lease substantially equivalent space in the rebuilt Shopping Center on the same terms as are contained in this Lease, provided LESSEE exercises such right within ninety (90) days after receipt of LESSOR'S notice of the rebuilding.

(c) PARTIAL DESTRUCTION. In the event of any damage to the Premises or the Shopping Center not resulting in termination of this Lease under subparagraph 10(b) above, LESSOR shall, if the casualty has occurred prior to the final eighteen (18) months of the Lease term, at its sole cost and expense proceed forthwith to rebuild or repair such building and other improvements to substantially the condition, but not less than the original square footage, in which they existed prior to such damage. If the casualty occurs during the final eighteen (18) months of the Lease term, LESSOR shall not be required to rebuild or repair such damage unless LESSEE shall exercise its renewal option (if any is contained herein), within thirty (30) days from the date of written notification by LESSEE to LESSOR of the happening of damage, otherwise this Lease shall terminate and rent shall be abated for the unexpired portion of this Lease, effective as of the date of said written notification. If the building and other improvements are to be rebuilt or repaired the fixed rent shall be abated until

such building and other improvements are completed to LESSEE'S satisfaction, and LESSEE shall pay LESSOR percentage rent only equal to three percent (3%) of all gross retail sales unless such calculated percentage rent shall exceed the fixed rent, in which case the fixed rent shall be payable. In the event that LESSOR should fail to complete such rebuilding or repairs within one hundred eighty (180) working days from the date of written notification by LESSEE to LESSOR of the happening of the damage, LESSEE may at its option terminate this Lease by giving thirty (30) days written notification to LESSOR, whereupon all rights and obligations hereunder shall cease.

11. USE OF PREMISES. The Premises may be occupied only for the purpose of the display and sale of ladies' and girls' apparel, accessories and allied lines commonly sold from time to time in THE CATO CORPORATION affiliated stores. Nothing in this Lease shall be deemed to constitute an obligation on the part of LESSEE to operate its business in the Premises at any time.

Notwithstanding the foregoing, in the event LESSEE closes its business in the Premises (for reasons other than casualty, condemnation, force majeure or remodeling), and remains closed for a period of ninety (90) days or more, then LESSOR shall have the right to cancel this Lease with thirty (30) days prior written notice to LESSEE, and provided that LESSEE has not subleased the Premises or assigned this Lease prior to LESSEE'S receipt of any such cancellation notice from LESSOR.

12. COMPLIANCE WITH LAW. LESSOR shall comply with all governmental laws, ordinances and regulations, including the Americans with Disabilities Act, applicable to the construction and use of the Premises concerning structural, electrical, plumbing or mechanical systems and all laws, ordinances or regulations affecting any other part of the Shopping Center, the noncompliance with which would interfere with LESSEE'S use of the Premises. LESSEE shall comply with all governmental laws, ordinances, and regulations applicable to the use of the Premises, for which the LESSOR is not responsible, and shall promptly comply with all governmental orders and directives for the correction, prevention and abatement of nuisance connected with LESSEE'S use of the Premises, all at LESSEE'S sole expense. If changes in laws or compliance with such changes render the use of the Premises impractical for the operation of LESSEE'S business, LESSEE shall have the right to terminate the Lease upon ninety (90) days prior written notice to LESSOR.

13. MAINTENANCE BY LESSOR. (a) LESSOR shall at its expense maintain, repair and replace the roof, walls and foundation of the Shopping Center buildings, and plumbing and electrical systems exterior to the Premises. For the first twelve (12) months after LESSEE opens for business in the Premises LESSOR shall, at its expense, repair and, if necessary replace the heating, ventilating and air conditioning ("HVAC") systems serving the Premises; thereafter, beginning February 1, 2010, LESSOR shall promptly reimburse LESSEE for the amount by which LESSEE'S expenses to repair or replace such HVAC systems exceed \$1,000.00 in each Lease year. LESSOR shall also be responsible for maintaining, and installing if necessary, any fire protection system that may be required. LESSOR shall be responsible for pest control in the Shopping Center excluding the Premises. LESSEE shall give immediate written notice to LESSOR of the need for repairs or corrections, except that in an emergency oral notification shall

suffice. Any failure by LESSEE to give LESSOR such notice shall not relieve LESSOR of its obligation to make any repairs, but shall give LESSOR an appropriate extension of time to do so. LESSOR shall have no liability for damage to LESSEE'S merchandise or fixtures except where such damage is the result of LESSOR'S gross negligence or willful misconduct.

(b) In the event that LESSOR fails or neglects to make repairs or corrections as provided herein within a reasonable period of time after notice from LESSEE, then LESSEE may make such repairs, and LESSOR shall promptly reimburse LESSEE for the actual cost thereof. If LESSOR fails to make any such reimbursement to LESSEE within thirty (30) days after having been billed for same then LESSEE shall have the right to recover such amount by withholding rent.

(c) LESSOR represents that at the beginning date of this Lease the structural components, roof, plumbing, any fire protection sprinkler system, and electrical systems in or affecting the Premises are in good working condition and that the HVAC systems serving the Premises shall be new equipment, newly installed. LESSOR agrees to assign to LESSEE any and all warranties, guarantees and service contracts relating to such HVAC systems.

14. MAINTENANCE BY LESSEE. (a) LESSEE shall at its own cost and expense maintain all interior portions of the Premises and other improvements within the Premises in good repair and condition, including but not limited to repairs (including all necessary replacements) to the HVAC systems serving only the Premises after LESSOR'S obligation for such systems has ended and thereafter subject to reimbursement as described in Article 13(a), provided, however, LESSEE shall provide a service contract for periodic inspections and routine maintenance, such as filter replacement, for the HVAC systems serving the Premises. In addition, LESSEE shall also maintain accessible interior plumbing, plate glass, doors and the interior of the Premises in general. LESSEE shall have no responsibility either for any repair to or installation of any fire protection sprinkler system that may be present or that may be required, or for any damage resulting from LESSOR'S failure to perform any of its legal obligations or those arising under this Lease.

(b) LESSEE shall throughout the Lease term take good care of the Premises and other improvements therein and keep them free from waste or nuisance. LESSEE shall deliver up the Premises at the termination of this Lease in good repair and condition (reasonable wear and tear and damage by fire or other casualty excepted).

15. ALTERATIONS AND ADDITIONS. LESSEE shall not create any openings in the roof or exterior wall, nor make any structural alterations, additions or improvements to the Premises without prior written consent of LESSOR. LESSEE shall have the right at all times to erect or install shelves, bins, machinery, air conditioning or heating equipment, and trade fixtures, provided that LESSEE complies with all applicable governmental laws, ordinances and regulations concerning such fixtures. LESSEE shall have the right, but is under no obligation to remove at any time during the Lease term or at its termination, such items so installed. However, LESSEE shall, prior to the termination of this Lease, repair any damage caused by such removal. In the case of

an early termination of this Lease, LESSEE shall have thirty (30) days to remove such items and repair any damage caused by such removal. All alterations, additions or improvements made by LESSEE, save trade fixtures, that are permanently attached to the real estate shall become the property of the LESSOR at the termination of this Lease. LESSEE has the right to make minor alterations of a non-structural nature without LESSOR'S consent.

16. SIGNS. (a) LESSEE shall have the right to erect its customary signs on the exterior fascia of the Premises and under the canopy, including professionally prepared sale and promotional banners, securely attached to said fascia or canopy, subject to applicable laws and deed restrictions, and substantially in accordance with Exhibit D, attached hereto and made a part hereof. LESSEE shall remove all signs at the termination of this Lease, or within thirty (30) days in case of an early termination. LESSOR shall have the right, upon sixty (60) days written notice to LESSEE, to temporarily (lasting no more than fifteen (15) days) remove LESSEE'S storefront or under canopy signage if such removal is necessary to allow LESSOR to renovate, repair or refurbish the storefront fascia or canopy in the Shopping Center. In the event any such temporary removal is necessary, LESSOR shall be responsible for the expense of removing, storing and re-installing LESSEE'S signs, with such removal, storage and re-installation methods and contractors to be subject to LESSEE'S approval. In addition, LESSOR shall provide and install, at its sole cost and expense, and subject to LESSEE'S approval, a banner or other temporary sign marking the Premises. LESSOR shall be responsible for the cost of repairing or replacing LESSEE'S signs if such signs are damaged as a result of LESSOR exercising its rights to remove LESSEE'S signs as described herein, or if LESSOR'S renovations, repairs, or refurbishments of the storefront fascia or canopy necessitate a change in the color or size of LESSEE'S signage. Notwithstanding the foregoing, LESSEE shall have the right to postpone LESSOR'S temporary removal of LESSEE'S signage if LESSOR'S proposed removal would interfere with LESSEE'S seasonal sale periods or special promotional periods.

(b) LESSOR may provide and install a pylon sign identifying the Shopping Center. Should LESSOR grant to any other tenant in addition to or other than major anchor tenants the right to place an identifying sign on said pylon, then LESSEE shall have the right, at its own expense, to place its identifying sign on said pylon, such sign to be largely in accordance with Exhibit D and located below the Shopping Center identifying logo and any existing tenants including major tenants.

(c) LESSOR agrees that LESSEE may provide and install, at LESSEE'S cost and expense, a four foot by eight foot (4' x 8') plywood sign, built to the specifications shown on Page 7 of Exhibit D hereto, with the wording shown in Exhibit D. Such sign is to be installed at the main entrance to the Shopping Center in a location that is visible to passing traffic. Said sign shall be installed no more than sixty (60) days prior to LESSEE'S scheduled store opening date, and approximately thirty (30) days prior to LESSEE'S scheduled opening date LESSEE may add a decal to both sides of the sign, over the "Opening Soon" lettering, which decal shall specify LESSEE'S store opening date.

17. LESSOR'S RIGHT OF ENTRY. LESSOR or its authorized agents shall have the right to enter the Premises during normal working hours in a manner not unreasonably interfering with the

operation of LESSEE'S business under the circumstances, for the following purposes:

- (a) Inspecting the general conditions and state of repair of the Premises;
- (b) The making of repairs required of LESSOR;
- (c) The showing of the Premises to any prospective purchaser;
- (d) In the event of emergency to protect the Premises or adjoining premises.

18. UTILITY SERVICES. LESSOR shall provide at the beginning date of this Lease the normal and customary utility service connections and meters in the Premises, relating to LESSEE'S use of the Premises. In addition, LESSOR shall provide a concrete dumpster pad to serve the Premises, on which LESSEE can locate its dumpster, which pad shall be located no more than twenty-five feet (25') from the rear entrance of the Premises. LESSEE agrees to pay all charges incurred by LESSEE for utilities used at the Premises.

19. ASSIGNMENT AND SUBLEASING. LESSEE may, without LESSOR'S consent, assign this Lease or sublease the Premises to any affiliate, licensee, or subsidiary of LESSEE, provided that LESSEE shall remain primarily liable for the performance of all covenants and terms hereof. Any other assignment or subleasing shall be with LESSOR'S prior written approval, which shall not be unreasonably withheld.

20. LEGAL ACTION. In the event that either party hereto shall bring legal action against the other party, then the prevailing party shall be entitled to reimbursement from the other party for all expenses thus incurred, including reasonable attorney's fees.

21. HOLD HARMLESS. LESSOR shall not be liable to LESSEE or LESSEE'S employees, agents, invitees or to any other persons whomsoever, for any injury to person or damage to property on or about the Premises caused by negligence or misconduct of LESSEE, its employees, or agents. LESSEE agrees to indemnify LESSOR and hold it harmless from any such loss, expense or claim, unless such damage or injury results from LESSOR'S act or neglect.

22. CONDEMNATION. (a) If, during the term of this Lease or any extension or renewal thereof, either (i) any part of the Premises, or (ii) any substantial part of the Shopping Center, the loss of which would render the Premises economically less attractive to LESSEE, or (iii) any part of the parking area such that the building code or parking ratio as set forth herein would be violated, should be taken for any public or quasi-public use under any governmental law, ordinance or regulation, or by right of eminent domain, or should be sold to the condemning authority under threat of condemnation, this Lease shall, at the LESSEE'S option, terminate and the rent shall be abated during the unexpired portion of this Lease, effective as of the date of taking of the Premises by the condemning authority. Should any part of the Premises be taken by condemnation, and should the LESSOR build additional buildings in the Shopping Center LESSOR must give LESSEE written notice of such construction and then LESSEE shall have the right to

lease substantially equivalent space in the new buildings on the same terms as are contained in this Lease, provided LESSEE exercises such right within ninety (90) days after receipt of LESSOR'S notice of such construction.

(b) In the event of any condemnation to the Premises or the Shopping Center not resulting in termination of this Lease under subparagraph 22 (a) above, LESSOR shall forthwith at its sole expense restore and reconstruct the buildings and other improvements situated on the Premises or the Shopping Center, provided such restoration and reconstruction shall make the same reasonably tenantable and suitable for the uses for which the Premises are leased as defined in Article 11 above. The rent payable hereunder during the unexpired portion of this Lease shall be adjusted equitably.

(c) LESSOR and LESSEE shall each be entitled to receive and retain such separate awards and portions of lump sum awards as may be allocated to their respective interests in any condemnation proceedings. The termination of this Lease shall not affect the rights of the respective parties to such awards.

23. ADDITIONS OR OBSTRUCTIONS. LESSOR agrees that it will not construct or permit construction of any building or structure, including, but not limited to, ramps (for handicapped or otherwise), railings, kiosks, planters or any other obstruction to the view and exposure of the Premises, or changes to existing buildings within the Shopping Center, which in the judgment of LESSEE obscures the public view of LESSEE'S store. Construction of single story free-standing buildings on the out-parcels as shown on Exhibit A are not construed to be obstructing to public view of LESSEE'S store.

24. CONTIGUOUS TENANTS. LESSOR agrees that, during the term of this Lease, or any extension thereof, no space contiguous or adjacent to the Premises shall be occupied by a pet shop or game room or business in which either is a part thereof, nor shall space within 100 feet of the Premises be occupied by non-retail establishments requiring extensive parking including, without limitation, a disco, night club, amusement arcade, theatre, health spa, bowling alley, or any other non-retail operation or a store featuring sexually explicit materials or products, or drug paraphernalia.

25. INDUCEMENT. As an inducement to LESSEE for entering into this Lease, LESSOR warrants that the following tenant (the "Major Anchor Tenant") is open for business, or will open for business prior to or concurrent with LESSEE, located as indicated on Exhibit A hereto as follows:

WAL-MART SUPERCENTER DISCOUNT DEPARTMENT STORE

114,400 SQ. FT.

LESSOR warrants that in the event the Major Anchor Tenant should not be open for business when LESSEE is scheduled to open for business then LESSEE may delay its opening date and rental commencement date until the first of LESSEE'S scheduled store opening seasons after the Major Anchor Tenant is open for business. In addition, if the Major Anchor Tenant should vacate its premises or cease its retail operations in the Shopping Center at any time during the term of this Lease, then LESSEE shall have the option to cancel this Lease, however, in such event, LESSOR shall have six (6) months after such Major Anchor Tenant vacates or ceases its

retail operations in said space for all of said space to be occupied by a single tenant open for business and operating exactly the same type of retail business as that of such vacating Major Anchor Tenant (i.e., a national discount department store must be replaced by another national discount department store) before LESSEE may exercise this option to cancel, and provided that LESSEE notifies LESSOR of its intent to cancel in writing thirty (30) days prior to such cancellation.

Separate and apart from any other remedy as stated herein, during any period of vacancy by the Major Anchor Tenant LESSEE may abate monthly fixed rent and all other charges payable hereunder by LESSEE, and pay LESSOR in lieu thereof, on a monthly basis, an amount equal to one-half ($\frac{1}{2}$) of the monthly fixed rent that would otherwise then be due under this Lease. LESSEE'S election of one remedy as stated herein shall not preclude its exercise of any other remedy as stated herein.

26. SHOPPING CENTER OCCUPANCY. LESSOR warrants that at the time LESSEE is scheduled to open for business in the Premises and commence rent hereunder, as set forth in Article 3 herein, no less than sixty percent (60%) of the gross leasable area of the small shop space in the Shopping Center as shown on Exhibit A, exclusive of the out-parcels designated on Exhibit A, shall be occupied and open for business. In the event that less than sixty percent (60%) of the gross leasable area of the small shop space in the Shopping Center is occupied at the time of LESSEE'S scheduled store opening and rental commencement, or should such occupancy drop below sixty percent (60%) at any time thereafter and remain below sixty percent (60%) for one hundred eighty (180) consecutive days, LESSEE may elect as follows:

(a) Not to open for business in the Premises or pay any rents or other charges under this Lease until such time as the prescribed Shopping Center occupancy as set forth above, has been met; provided, however, that if at any time beginning twelve months after the date on which rental would have commenced under Article 3, LESSEE has not opened for business (or given written notice to LESSOR of its intent to open) and the prescribed Shopping Center occupancy has not been met, either LESSOR or LESSEE may terminate this Lease upon written notice to the other.

(b) To occupy the Premises and open for business with monthly fixed rent and all other charges payable hereunder by LESSEE to abate until the prescribed Shopping Center occupancy has been met by LESSOR. In lieu of monthly fixed rent and all other charges payable hereunder by LESSEE, LESSEE shall pay to LESSOR, on a monthly basis, an amount equal to one-half ($\frac{1}{2}$) of the monthly fixed rent that would otherwise be due under this Lease.

(c) In the event LESSOR fails within six (6) months from the delivery of the Premises to LESSEE, or the date on which the above described occupancy drops below sixty percent (60%), whichever later occurs, to meet the Shopping Center occupancy requirements, LESSEE may, at any time thereafter so long as such sixty percent (60%) occupancy has not been achieved upon thirty (30) days written notice in advance, elect to cancel this Lease and vacate the Premises.

27. COMPETITIVE STORES. LESSOR covenants and agrees that during the term of this Lease and any extensions or renewals thereof, should LESSOR directly or indirectly enter into any leases in the Shopping Center, or any enlargement thereof, including any

out-parcels, with any national or regional women's apparel or accessory chain store, then and in such event, fixed monthly rent and all other charges payable hereunder by LESSEE shall abate and LESSEE shall pay, in lieu thereof, a monthly amount determined by the following formula: ONE DOLLAR (\$1.00) times the number of square feet in the Premises divided by twelve; and LESSEE, at its option, may elect to cancel this Lease upon sixty (60) days notice in writing. In addition, in the event LESSOR violates the terms of this Article 27 then LESSOR agrees to indemnify and hold LESSEE harmless from any loss or damages, including attorney's fees, incurred by LESSEE as a result of LESSOR'S violation of the terms of this Article 27. The exercise of any of the foregoing remedies shall not preclude LESSEE'S exercise of any other remedies, either in law or in equity. The terms of this Article 27 shall constitute a covenant running with the land now or hereafter owned by LESSOR within the Shopping Center.

28. QUIET ENJOYMENT. LESSOR warrants that it has the full right and power to execute and perform this Lease and grant the estate demised herein and that LESSEE on payment of the rent and performing the covenants herein contained, shall peaceably and quietly have, hold, and enjoy the Premises during the full term of this Lease and any extension or renewal thereof.

29. SUBORDINATION AND NON-DISTURBANCE AGREEMENT. LESSEE accepts this Lease subject to and subordinate to any recorded mortgage, deed of trust, or other lien presently existing under the Premises. LESSOR is hereby vested with full power and authority to subordinate LESSEE'S interest to a first mortgage or deed of trust hereafter placed on the Premises, and LESSEE will within thirty (30) days, execute such further instruments subordinating this Lease as LESSOR may request, provided such subordination shall be upon the express condition that this Lease shall be recognized by the mortgagee, that the rights of LESSEE shall remain in full force and effect and its occupancy shall not be disturbed during the term of this Lease so long as LESSEE shall continue to perform all of the covenants of this Lease. LESSOR will assume any reasonable cost of preparing such documents for subordination.

30. HOLDING OVER. Should LESSEE or any of its successors in interest, hold over the Premises or any part thereof, after expiration of the term of this Lease or any extension thereof, unless otherwise agreed in writing, such holding over shall constitute and be construed as tenancy from month to month only, at monthly rental equal to the fixed rent paid for the last month of the term of this Lease or any extension thereof, plus estimated ancillary charges.

31. WAIVER OF DEFAULT. No waiver by the parties hereto of any default or breach of any term, condition, or covenant of this Lease shall be deemed to be waiver of any subsequent default or breach of the same or any other term, condition or covenant contained herein.

32. DEFAULT BY LESSEE. The following events shall be deemed to be events of default by LESSEE under this Lease:

(a) LESSEE shall fail to pay any installment of rent on the date that same is due and such failure shall continue for a period of ten (10) days after receipt of written notice from LESSOR.

(b) LESSEE shall fail to comply with any term, condition, or covenant of this Lease, other than that of rent and shall not cure such failure within thirty (30) days after written notice thereof to LESSEE, or if such failure cannot reasonably be cured within the said thirty (30) days and LESSEE shall not have commenced to cure such failure within thirty (30) days after written notice thereof to LESSEE.

(c) LESSEE shall become insolvent, or shall make an assignment for the benefit of creditors, or LESSEE shall be adjudged bankrupt or insolvent in proceedings filed against LESSEE thereunder.

Upon the occurrence of any such events of default, LESSOR shall have the option to pursue any one or more of the following remedies without any notice or demand whatsoever:

(i) Terminate this Lease, in which event LESSEE shall immediately surrender the Premises to LESSOR, but LESSEE shall have the right to remove its personal property and trade fixtures within a reasonable time after termination. If LESSEE fails to surrender the Premises, LESSOR may, without prejudice to any other remedy which it may have for possession or arrearages in rent, enter upon and take possession of the Premises and expel or remove LESSEE and any other person who may be occupying the Premises or any part thereof, and LESSEE agrees to pay to LESSOR the amount of all reasonable direct loss and damage which LESSOR may suffer by reason of such termination, provided that LESSOR has exercised reasonable efforts to mitigate damages. In no event shall LESSEE be liable for consequential damages.

(ii) Enter upon and take possession of the Premises and expel or remove LESSEE and any person who may be occupying the Premises or any part thereof, but LESSEE or other occupant shall have the right to remove its personal property and trade fixtures within a reasonable time after LESSOR (or his agent) takes possession of the Premises. LESSEE agrees to pay LESSOR any reasonable damages occurring to LESSOR by reason of the violation of any of the terms, conditions and covenants herein contained, provided that LESSOR has exercised reasonable efforts to mitigate damages.

33. CERTIFICATE OF OCCUPANCY. LESSOR represents that all structural components, plumbing and electrical wiring installed in the Premises by LESSOR are, or will be upon completion of LESSOR'S work, in proper condition to permit LESSEE to obtain a Certificate of Occupancy.

34. FORCE MAJEURE. LESSOR or LESSEE shall not be required to perform any term, condition or covenant in this Lease for the period of time that such performance is delayed or prevented by force majeure, which shall mean acts of God, strikes, lockouts, material or labor restrictions by any governmental authority, civil riot, floods, or any other cause not reasonably within the control of LESSOR or LESSEE and by which the exercise of due diligence LESSEE or LESSOR is unable, wholly or in part, to prevent or overcome.

35. EXHIBITS. All exhibits, attachments, annexed instruments, and addenda referred to herein shall be considered a part hereof for all purposes with the same force and effect as if copied at full length herein.

36. USE OF LANGUAGE. Words of any gender used in this Lease shall be held and construed to include any other gender, and words in the singular shall be held to include the plural, unless the context otherwise requires.

37. CAPTIONS. The captions or headings of articles in this Lease are inserted for convenience only, and shall not be considered in construing the provisions hereof if any question of intent should arise.

38. SUCCESSORS. The terms, conditions and covenants contained in this Lease shall apply to, inure to the benefit of, and be binding upon the parties hereto, their respective successors in interest and legal representatives, except as otherwise herein expressly provided. All rights, powers, privileges, immunities and duties of LESSOR or LESSEE under this Lease, including but not limited to any notices required or permitted to be delivered by either party to the other hereunder, may at the respective party's option, be exercised by that party's agent or attorney.

39. SUBLEASE INSTEAD OF LEASE AGREEMENT. Should LESSOR herein not be the owner of the Premises, and this Agreement is in fact a Sublease, LESSEE herein accepts this Sublease subject to all the terms and conditions contained in the underlying lease under which LESSOR holds the Premises, provided that LESSOR shall comply with all of its obligations under the underlying lease and, at LESSEE'S request, use all of its rights to enforce all the landlord's obligations under the underlying lease. A copy of said underlying lease is attached hereto by LESSOR and made a part hereof. If said underlying lease is not attached hereto, LESSOR covenants that this Lease is not a sublease and LESSEE shall have no obligations with respect to any underlying lease.

40. ESTOPPEL AGREEMENT. LESSEE shall, upon receipt of reasonable written notice, if all the terms and conditions of this Lease have been satisfied, and such document or documents in no way alter, diminish or affect the terms of this Lease, sign a reasonable Estoppel Agreement.

41. MODIFICATIONS. This Lease, together with all attached exhibits, is the entire agreement between LESSOR and LESSEE. Any modifications must be in writing and signed by both parties.

42. MEMORANDUM OF LEASE. LESSOR and LESSEE agree to execute, acknowledge and deliver, concurrent with execution of this Lease, a "Short Form Lease" or "Memorandum of Lease" suitable for recording and further mutually agree to the recording of said Memorandum of Lease.

43. NOTICES. Any notice or document required or permitted to be delivered shall be construed to have been delivered when deposited in the United States Mail, postage prepaid, Registered or Certified Mail, Return Receipt Requested, addressed

to the parties hereto at the respective addresses set out opposite their names below, or at such other addresses as they have specified by written notice delivered in accordance herewith:

LESSOR:

LESSEE:

SAPPHIRE POINTE, L.P.
17400 Dallas Parkway, Suite 216
Dallas, Texas 75287

THE CATO CORPORATION
Post Office Box 34216
Charlotte, North Carolina 28234

44. RENT CHECKS. All rent checks under this Lease shall be made payable to:

SAPPHIRE POINTE, L.P.
17400 Dallas Parkway, Suite 216
Dallas, Texas 75287
Federal I.D.# 20-1224358

45. CURB CUT REQUIREMENTS. LESSOR agrees that upon delivery of the Premises to LESSEE the Shopping Center will contain the number of parking lot curb cuts shown on Exhibit A hereto, all located as shown on Exhibit A. In the event said curb cuts are not present and properly located in the Shopping Center at the time of delivery of the Premises to LESSEE then until said curb cuts are completed in the Shopping Center parking lot, as required hereunder, then LESSEE shall have the right to delay its opening for business and commencement of rent under this Lease. If LESSEE should elect to open for business prior to the completion of such required curb cuts then until such time as said curb cuts are completed LESSEE shall have the right to abate monthly fixed rent and all other charges payable hereunder by LESSEE, and pay LESSOR in lieu thereof, on a monthly basis, an amount equal to one-half (½) of the monthly fixed rent that would otherwise then be due and payable under this Lease. In addition, if said curb cuts have still not been properly completed in the Shopping Center parking lot twelve (12) months after the Premises were delivered to LESSEE then LESSEE shall have, and maintain, the ongoing right to terminate this Lease upon thirty (30) days prior written notice to LESSOR.

46. AUTHORIZATION. The parties executing this Lease for LESSOR and LESSEE by signing below represent that they are authorized to do so.

IN WITNESS WHEREOF, LESSOR and LESSEE have each caused this instrument to be duly executed as of the day and year first written.

LESSOR:

SAPPHIRE POINTE, L.P..
A Texas limited partnership

By: Sapphire Pointe GP, LLC
A Texas limited liability company
Its General Partner

WITNESS:

By: Sue Shelton
Sue Shelton
Executive Vice President

LESSEE:

THE CATO CORPORATION
A Delaware Corporation

WITNESS:

Ag L C Hys

By: John P. Derham Cato
John P. Derham Cato
President, Chairman and
Chief Executive Officer

Attest: Assistant Secretary
Assistant Secretary

[CORPORATE SEAL]

LESSOR'S ACKNOWLEDGMENT

STATE OF Texas

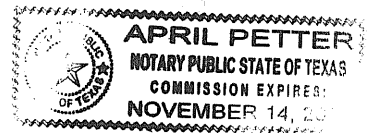
COUNTY OF Dallas

I, April Petter, a Notary Public for said County and State, do hereby certify that Sue Shelton, Exec. Vice President of Sapphire Pointe GP, LLC, a limited liability company, personally appeared before me this day and acknowledged the due execution of the foregoing instrument on behalf of the company.

Witness my hand and official seal or stamp, this the 7th day of July, 2004.

My commission expires

11-14-07



April Petter
Notary Public

LESSEE'S ACKNOWLEDGMENT

STATE OF NORTH CAROLINA

COUNTY OF MECKLENBURG

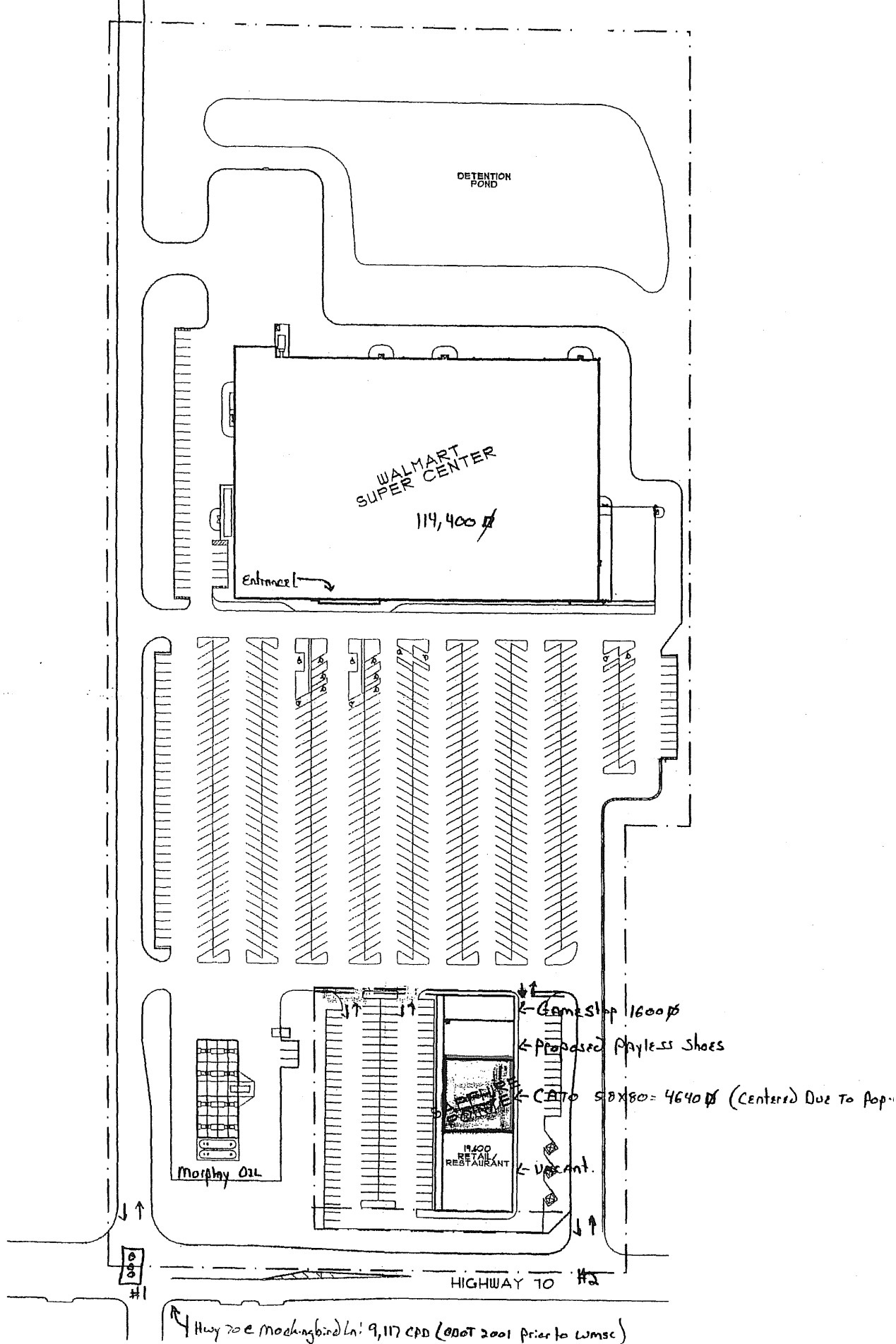
This 29th day of June, 2004 personally came before me JOHN P. DERHAM CATO, who being duly sworn, says that he is the PRESIDENT, CHAIRMAN, AND CHIEF EXECUTIVE OFFICER of THE CATO CORPORATION, and that the seal affixed to the foregoing instrument in writing is the corporate seal of the corporation and that said writing was signed and sealed by him in behalf of said corporation by its authority duly given. And its PRESIDENT, CHAIRMAN, AND CHIEF EXECUTIVE OFFICER, the said JOHN P. DERHAM CATO, acknowledged the said writing to be the act and deed of said corporation.

WITNESS my hand and Notarial Seal this 29th day of June, 2004.

My commission expires:

11-2-07

John P. Derham Cato
Notary Public



SAPPHIRE POINT RETAIL CENTER

CONCEPTUAL SITE PLAN

0 25 50 100 200

02-18-04

IDABEL, OKLAHOMA

SITE DATA:

LAND AREA: 1.86 ACRES

BUILDING AREA

RETAIL/RESTAURANT: 19,600 S.F.

PARKING: 120 SPACES

CROSS

(Plot Plan of Shopping Center showing demised premises outlined in red)

EXHIBIT A

A tract of land lying in the Southwest Quarter (SW/4) of Section Thirty-three (33), Township seven (7) South, Range Twenty-four (24) East of the Indian Meridian, McCurtain County, Oklahoma, being more particularly described as follows:

COMMENCING at the Southwest corner of said Southwest Quarter; THENCE North $88^{\circ}24'56''$ East, along the south line of said Southwest Quarter, a distance of 1327.96 feet to the Southwest corner of the Southwest Quarter of the Southeast Quarter of the Southwest Quarter of said Section, also being the POINT OF BEGINNING; THENCE North $01^{\circ}57'13''$ West a distance of 1415.38 feet; THENCE North $88^{\circ}24'56''$ East, parallel with the south line of said Southwest Quarter, a distance of 663.08 feet; THENCE South $01^{\circ}59'25''$ East a distance of 904.39 feet; THENCE South $88^{\circ}24'56''$ West, parallel with the south line of said Southwest Quarter, a distance of 73.65 feet; THENCE South $01^{\circ}57'13''$ East a distance of 511.00 feet to a point on the south line of said Southwest Quarter; THENCE South $88^{\circ}24'56''$ West, along said south line, a distance of 590.00 feet to the POINT OF BEGINNING.

(Legal Description of Shopping Center)

EXHIBIT B

IDABEL, OKLAHOMA

1. **CONSTRUCTION OF BUILDING AND OTHER IMPROVEMENTS:** LESSOR agrees to construct (or complete) a building and other improvements for LESSEE upon the site designated as the Leased Premises in accordance with LESSEE'S Site Specific Plans and Specifications.
2. **LESSOR'S PLANS:** LESSOR must prepare the following plans and deliver them to LESSEE:
 - A. Site Plan indicating Anchor and Inducement Tenants, Pylon sign location, Landscaping, Parking Plan including Handicap Parking Stalls, Street Ingress and Egress, Curb Cuts and Dumpster location.
 - B. Site Exterior Lighting Plan
 - C. Floor Plan
 - D. Front, Sides and Rear Elevations
 - E. Section through the Front Elevation
 - F. Front Façade Finish and Color Specifications

These plans must be delivered to LESSEE in a timely manner so that LESSEE can use them to produce the Site Specific Plans and Specifications for the Premises. Plans shall be delivered to the following:

Cato Corporation
Vice President of Store Planning and Design
8100 Denmark Rd
Charlotte, NC 28273
704.551.7466 Phone
704.551.7594 Fax
swood@catocorp.com (email)

3. **COMPLETION DATE:**
 - A. It is estimated by LESSOR that the building and other improvements shall be completed by January 1, 2005.
 - B. LESSOR shall notify LESSEE, in writing, one week in advance of when construction will be completed. Recent digital photographs of the Premises shall also be included with such notification. LESSEE shall inspect the building and other improvements if the same have, in fact, been completed in accordance with the Plans and Specifications.
 - C. If the building and other improvements have not, in fact, been completed in accordance with the Plans and Specifications, written notification of the items deemed incomplete or defective shall be given by LESSEE to LESSOR immediately following inspection. LESSOR shall forthwith proceed to correct the incomplete items.
4. **TAKING OF POSSESSION:** The taking of possession of the Premises by LESSEE shall not be deemed to be acknowledgment by LESSEE that construction has been completed in accordance with Plans and Specifications. That acknowledgement shall only be given once incomplete items and/or defects have been provided or corrected.
5. **LETTER OF ACCEPTANCE:** LESSEE agrees to execute and deliver to LESSOR upon LESSOR'S request a Letter of Acceptance addressed to LESSOR and signed by LESSEE (or its authorized agent) acknowledging that construction has been completed in accordance with the Plans and Specifications.

6. **FAILURE TO COMPLETE:** In the event that the building and other improvements have not been completed in accordance with LESSEE'S Plans and Specifications by January 1, 2005 then LESSEE shall have the right and option to postpone commencement of rental payments until August 15, 2005. If the Premises are not delivered to LESSEE by LESSOR by January 1 2005, then upon commencement of rent LESSEE may receive a credit against monthly rent equal to FIVE HUNDRED AND NO/100 DOLLARS (\$500.00) per day for each day commencing on the delivery date above specified and ending with the date the completed Premises are delivered to LESSEE in accordance with LESSEE'S plans and specifications. If the Premises are not delivered to LESSEE by LESSOR by May 15, 2005, then LESSEE shall have the option to terminate this Lease by giving LESSOR written notice of its intention to terminate at any time after May 15, 2005 and this Lease Agreement shall thereupon terminate with no further liability of one party to the other.
7. **GENERAL CONDITIONS:** LESSOR shall construct or shall cause to be constructed, the Premises exactly per LESSEE'S site specific Plans and Specifications dated June 23, 2004, as produced and provided by LESSEE and as described below:
- T1 Cover Sheet
 - C1 Floor Plan
 - C2 Wall Sections
 - C3 Exterior Storefront Elevation
 - C4 Door and Finish Schedule
 - C5 Reflected Ceiling Plan, Details and Notes
 - C6 Electrical Layout Plan, Details and Notes
 - C7 Mechanical and Plumbing
- and
- Cato Construction Specifications dated June 23, 2004, 12 pages
- For reference only, the following sheets are also included:
- F1 Fixture Floor Plan
 - F2 Interior Elevations
 - F3 Floor Covering Plan
 - F4 Sections and Details
 - F5 Additional Sections and Details
8. **LESSOR'S CONTRIBUTION:** Upon completion of LESSEE'S work in the Premises, LESSOR, as its contribution to such improvements, shall reimburse LESSEE, within thirty (30) days after having been billed for same, in the amount of TWENTY-NINE THOUSAND ONE HUNDRED TWENTY AND NO/100 DOLLARS (\$29,120.00) for construction costs. In the event LESSOR fails to make such contribution to LESSEE within thirty (30) days after billing as described herein then LESSEE shall have the right to recover such contribution by withholding rent.



48" ILLUMINATED RED 'CATO', 24" NON-ILLUMINATED RED 'JUNIOR MISSES PLUS' LETTERS, DWM.

CATQ

junior misses plus

LETTER STYLING

NOTE:
SEE ARCHITECTURAL DRAWINGS FOR ACTUAL
PARAPET CONSTRUCTION, THIS DETAIL IS TO
SHOW INTENT FOR SIGN MOUNTING ONLY.

STUCCO OR EIFS SYSTEM
OVER STUDS
OR MASONRY FASCIA

NUT-SERTS WITH
7/16" FLAT WASHERS

GELcore Tetra RED/RED
L.E.D. UNITS

1/8" POLYCARBONATE
FACE

INSIDE OF SIGN IS PAINTED
WHITE, THE OUTSIDE IS
PAINTED DK. BRONZE

JEWELITE TRIMCAP

.050 ALUMINUM RETURN
MIG WELDED OR STAPLED
TO BACK

.090 ALUMINUM BACK

EXISTING STRUCTURE

3/8" THREADED ROD
THROUGH WALL

ANGLE IRON BEHIND WALL
TO SPAN 2 STUDS MINIMUM
(IF NO BLOCKING PRESENT)

120 VOLT L.E.D. TRANSFORMER
WITH SHORT CIRCUIT PROTECTION
MOUNTED BEHIND WALL (REMOTE)

LOW VOLTAGE WIRING
OUT BACK OF EACH LETTER

7/8" DIA. HOLE THROUGH WALL
WITH 1/2" SLEEVE

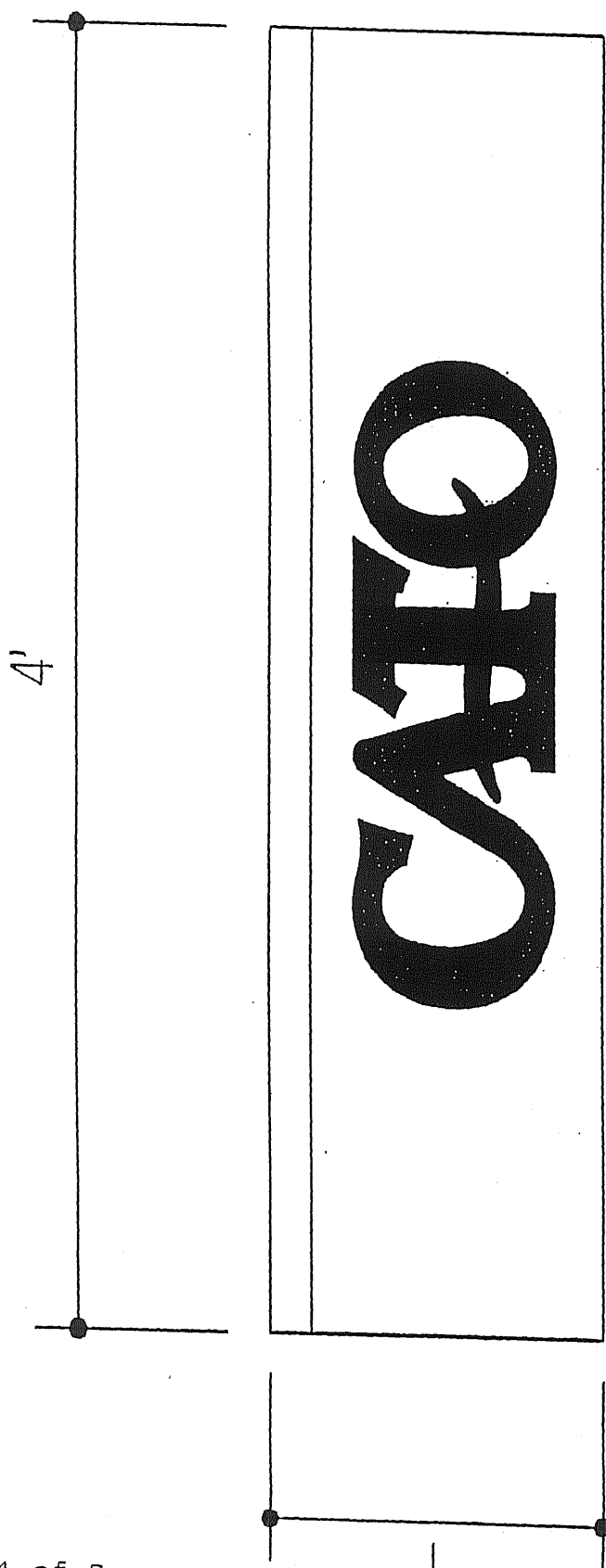
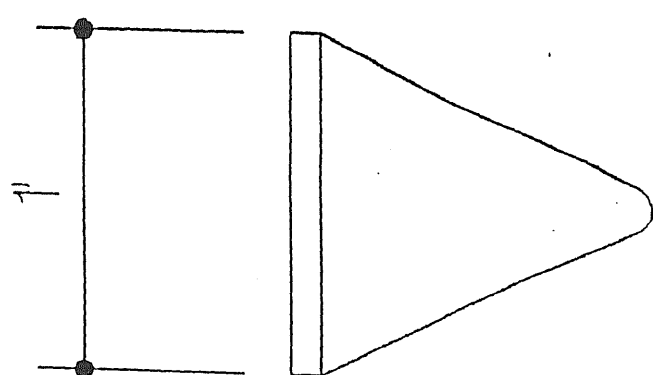
1/2" FLEX TO J-BOX

120V J-BOX BEHIND WALL MARKED 'FOR SIGN' BY
ELECTRICAL CONTRACTOR

5/8" PLYWOOD BLOCKING BEHIND SIGN AREA ON
WALL (NOT REQUIRED FOR CMU OR BRICK WALLS)

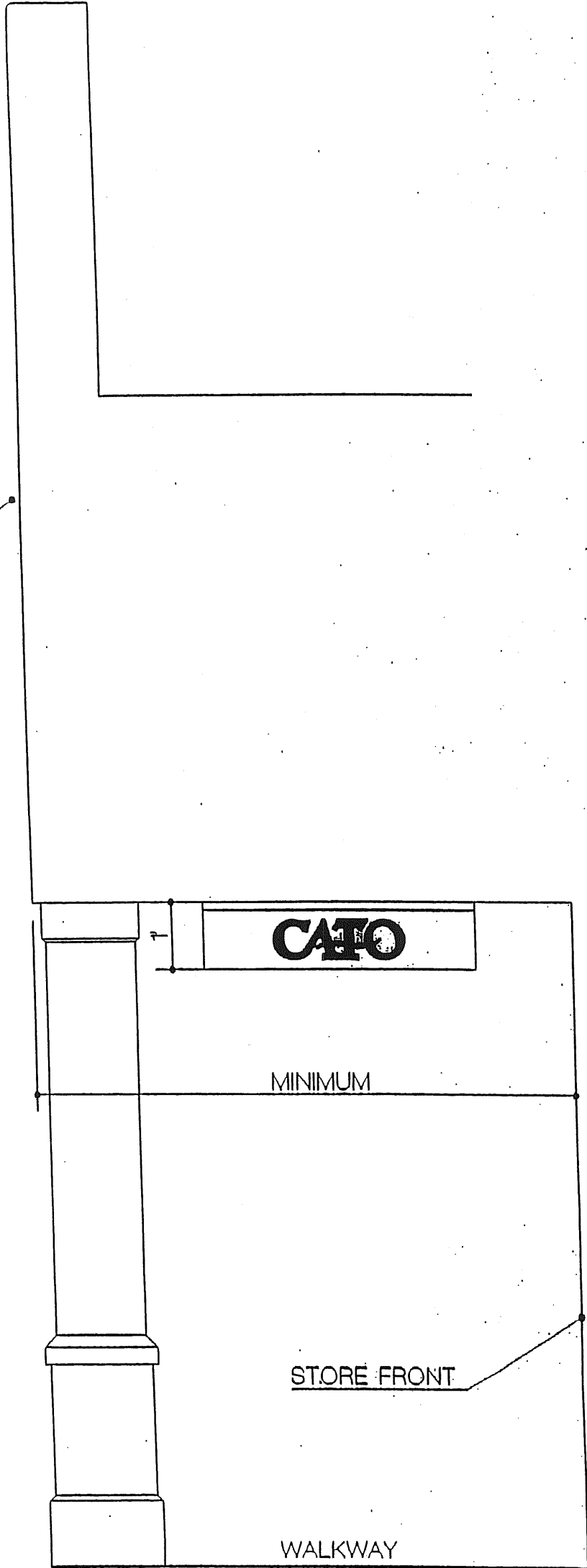
FACES ARE TO BE #2283 RED, IF SIGN IS TO BE WHITE
THEN THE EXTERIOR FACE IS COVERED WITH 3M DUAL
COLOR PERFORATED VINYL FILM #3635-210

SIGN MOUNTING DETAIL - DWM



ILLUMINATED UNDER CANOPY SIGN
 WHITE ACRYLIC ONE PIECE SIGN
 W/ RED VINYL LETTERS

PARAPET SIGN BAND



TYPICAL UNDER CANOPY SIGN PLACEMENT
& OVERHANG DETAIL

SHOPPING CENTER

CAT

**misses
junior
plus**

TYPICAL PYLON SIGN



NOTE: PAINTS SPECIFIED ARE SHERWIN WILLIAMS. MATCHING SUBSTITUTES ARE PERMITTED.